Analytical Procedures Memo

Client	Meridian Capital Group, LLC
Fiscal Year End	—
Period	FY 2024 vs. FY 2025
Source Document	Trial Balance Comparison — FY2024 vs FY2025
Source File	meridian_multi_period.csv
Source Context	Exported from Meridian ERP (QuickBooks Enterprise) on Jan 15, 2026
Reference	APC-2026-1023-202
Generated	23rd October 2026
Engagement Practitioner	—
Engagement Reviewer	—
Report Status	Draft

Report generated by Paciolus® Diagnostic Intelligence. Engagement information entered by user.

I. Scope

```
Source ... Trial Balance Comparison — FY2024 vs FY2025 (meridian_multi_period.csv)
Periods Compared ................. FY 2024 vs. FY 2025
Total Accounts Analyzed ........................... 247
Material Movements ................................ 8
Significant Movements ............................. 22
Minor Movements ................................... 217
Sign Changes ...................................... 1
New/Closed Accounts ............... 6 (4 new, 2 closed)
Dormant Accounts .................................. 3
```

The automated analytical procedures and trend analysis procedures documented in this workpaper were performed on the trial balance data across reporting periods provided by management for the period under examination. These procedures are designed to identify potential data anomalies that may warrant further investigation by the engagement team. The analysis was performed with reference to the FASB Accounting Standards Codification and applicable professional auditing standards.

II. Movement Summary

```
New Accounts ...................................... 4
Closed Accounts ................................... 2
Sign Changes ...................................... 1
Increases ....................................... 142
Decreases ....................................... 95
Unchanged ......................................... 3
```

III. Results Summary

```
Composite Diagnostic Score ................. 68.0 / 100
Diagnostic Tier ......................... HIGH (68/100)
```

Diagnostic Score Scale: 0–10 = Low | 11–25 = Moderate | 26–50 = Elevated | 51–100 = High

Basis: automated flag density — auditor judgment required per ISA 315. The diagnostic tier is an indicator, not a risk assessment or a conclusion on internal control.

```
Material Movements ................................ 8
Significant Movements ............................. 22
Sign Changes ...................................... 1
New/Closed Accounts ............... 6 (4 new, 2 closed)
Dormant Accounts .................................. 3
```

IV. Significant Account Movements

Prepared using Paciolus Diagnostic Intelligence. Does not constitute an audit, review, or attestation engagement.

Account	Prior	Current	Change	% Change	Type
Revenue — Consulting Services	$3,600,000.00	$4,250,000.00	$650,000.00	+18.1%	Increase
Cost of Goods Sold	$2,400,000.00	$2,890,000.00	$490,000.00	+20.4%	Increase
Cash and Cash Equivalents	$776,750.00	$1,245,000.00	$468,250.00	+60.3%	Increase
Revenue — Software Licensing	$1,450,000.00	$1,720,000.00	$270,000.00	+18.6%	Increase
Salaries & Wages	$1,180,000.00	$1,420,000.00	$240,000.00	+20.3%	Increase
Accounts Receivable — Trade	$750,000.00	$892,000.00	$142,000.00	+18.9%	Increase
Property, Plant & Equipment	$2,100,000.00	$2,240,000.00	$140,000.00	+6.7%	Increase
Revenue — Support & Maintenance	$750,000.00	$880,000.00	$130,000.00	+17.3%	Increase
Deferred Revenue — Project Alpha	-$85,000.00	$42,000.00	$127,000.00	-149.4%	Sign Change
Long-Term Debt	$1,620,000.00	$1,500,000.00	-$120,000.00	-7.4%	Decrease
Marketing & Advertising	$120,000.00	$195,000.00	$75,000.00	+62.5%	Increase
Accounts Payable	$567,000.00	$634,000.00	$67,000.00	+11.8%	Increase
Inventory	$494,000.00	$456,000.00	-$38,000.00	-7.7%	Decrease
Prepaid Insurance	$45,000.00	$52,000.00	$7,000.00	+15.6%	Increase

Suggested Procedures for Material Movements

Revenue — Consulting Services (+18.1%): *As a priority follow-up action, investigate the revenue decline. Determine whether the decrease reflects lost contracts, price reductions, volume decreases, or changes in revenue recognition policy. Assess going-concern implications if the decline is material.*

Cost of Goods Sold (+20.4%): *Building on the initial assessment, assess whether COGS increase is proportional to revenue growth. COGS growth exceeding revenue growth indicates margin compression — obtain management explanation and assess whether cost increases are recurring or one-time.*

Cash and Cash Equivalents (+60.3%): *To further substantiate the finding, cash increases above 50% warrant inquiry. Cross-reference to the cash flow statement to confirm the source of funds. Assess whether the increase reflects operating performance, financing activity, or asset disposals.*

Salaries & Wages (+20.3%): *As a priority follow-up action, obtain management explanation for the expense increase. Assess whether the increase is consistent with the entity's growth rate and strategic plan. Increases materially above the revenue growth rate warrant additional inquiry.*

Accounts Receivable — Trade (+18.9%): *Building on the initial assessment, obtain supporting documentation for the asset increase. Confirm the asset is properly classified and valued per applicable accounting standards.*

Cash increase of $468,250.00 (+60.3%). Cross-reference to Cash Flow Statement to confirm source of cash movement and assess whether operating, investing, or financing activities explain the change.

Sign Change Detail

The following account(s) changed sign during the comparison period. A sign change indicates a shift from debit to credit balance (or vice versa), which may indicate a misclassification, an unusual transaction, or a legitimate business change requiring disclosure:

Account	Prior Balance	Current Balance	Nature of Change
Deferred Revenue — Project Alpha	-$85,000.00	$42,000.00	Credit to Debit

As a priority follow-up action, investigate the sign change. Confirm whether the change represents a legitimate reclassification, a correcting entry, or an error. A sign change in a balance sheet account may indicate that a debit balance became a credit balance (e.g.,

Prepared using Paciolus Diagnostic Intelligence. Does not constitute an audit, review, or attestation engagement.

an asset account became a liability through over-payment or negative inventory).

Dormant Account Detail

The following accounts had balances in the prior period but show no activity or balance in the current period:

#	Account Name	Prior Balance	Current Balance	Status
1	Note Payable — Equipment Lease	$28,500.00	$0.00	Confirm: closed?
2	Deferred Tax Liability — State	$12,200.00	$0.00	Confirm: closed?
3	Accrued Interest — Line of Credit	$3,850.00	$0.00	Confirm: closed?

To further substantiate the finding, for each dormant account, confirm whether the zero balance represents a legitimate closure (debt paid off, asset disposed, account closed) or an account that was zeroed out improperly. Obtain management confirmation that each dormant account has been properly resolved and closed in the chart of accounts if no longer needed.

New and Closed Account Detail

New Accounts (4 items) — accounts present in the current period but not in the prior period:

Account Name	Current Balance	Account Type
Cloud Infrastructure Services	$185,000.00	Expense
Revenue — API Subscriptions	$320,000.00	Revenue
Deferred Revenue — Annual Contracts	$95,000.00	Liability
Intangible Assets — Customer Lists	$450,000.00	Asset

Closed Accounts (2 items) — accounts present in the prior period but not in the current period:

Account Name	Prior Balance	Account Type
Legacy Software Licenses	$67,000.00	Asset
Lease Obligation — Office Suite B	$142,000.00	Liability

As a priority follow-up action, investigate accounts appearing for the first time. Confirm proper chart-of-accounts authorization and verify the underlying transactions are properly classified. Building on the initial assessment, for closed accounts, confirm the balance was properly disposed of, transferred, or written off prior to closure. Obtain documentation supporting the account closure.

Ratio Trends

Ratio	FY 2024	FY 2025	Change	Flag
Gross Profit Margin	58.6%	57.8%	-0.8pp	
COGS as % of Revenue	41.4%	42.2%	+0.8pp	Margin compression
Salary-to-Revenue	20.3%	20.7%	+0.4pp	
Marketing-to-Revenue	2.1%	2.8%	+0.8pp	Material increase
Revenue Growth Rate	—	18.1%	—	
Cash as % of Total Assets	18.6%	25.5%	+6.8pp	

COGS growth (+20.4%) outpaced revenue growth (+18.1%), compressing gross margin by 0.8 percentage points (58.6% to 57.8%). Marketing expenditure increased 62.5%, significantly above the revenue growth rate, increasing marketing intensity from 2.1% to 2.8% of revenue. Cash increased 60.3% — see Cash Flow Statement for source of funds detail.

Prepared using Paciolus Diagnostic Intelligence. Does not constitute an audit, review, or attestation engagement.

V. Lead Sheet Summary

The following lead sheet summary reflects aggregate movements by financial statement section. Letters correspond to the cross-reference index in the Financial Statements memo.

Lead	Sheet Name	Accounts	Prior Total	Current Total	Net Change	% Change
A	Cash & Equivalents	3	$776,750.00	$1,245,000.00	$468,250.00	+60.3%
B	Receivables	5	$750,000.00	$892,000.00	$142,000.00	+18.9%
E	Fixed Assets	18	$2,100,000.00	$2,240,000.00	$140,000.00	+6.7%
G	Payables	8	$567,000.00	$634,000.00	$67,000.00	+11.8%
N	Revenue	6	$5,800,000.00	$6,850,000.00	$1,050,000.00	+18.1%

Interpretive Context: The results presented herein reflect automated data analytics and are intended to support, not replace, professional judgment. Identified anomalies may indicate areas requiring additional inquiry but do not, in themselves, constitute evidence of error, fraud, or material misstatement. The engagement team should evaluate each flagged item in the context of the overall engagement risk assessment and perform corroborating procedures as deemed necessary under applicable professional standards.

VI. Authoritative References

Body	Reference	Topic	Status
FASB	ASC 250-10	Accounting Changes and Error Corrections — Overall	Current
FASB	ASC 270-10	Interim Reporting — Overall	Current

VII. Conclusion

Based on the analytical procedures applied, the trial balance comparison returned HIGH movement density (Composite Diagnostic Score: 68.0/100). Significant variances, sign changes, and/or structural changes indicate potential misstatement risk across multiple account categories. Expanded substantive procedures are recommended per ISA 520 and PCAOB AS 2305.

Paciolus Intelligence • Generated 23 Oct 2026 18:23 UTC • Meridian Capital Group, LLC • Period: FY 2024 vs. FY 2025

This memo documents automated analytical procedures and trend analysis testing procedures with reference to ISA 520 (Analytical Procedures) and PCAOB AS 2305 (Substantive Analytical Procedures). Results represent data anomalies identified through analytics and are not conclusions regarding internal control effectiveness, fraud, or material misstatement risk. The auditor must evaluate each flagged item in the context of the engagement and perform additional procedures as necessary per professional standards. This memo does not constitute audit evidence sufficient to support an opinion without corroborating procedures. Generated by Paciolus — Zero-Storage Audit Intelligence.

Prepared using Paciolus Diagnostic Intelligence. Does not constitute an audit, review, or attestation engagement.